financial aid, faculty salaries, and building maintenance. Each year, MIT spends around 5% of its endowment to support these and other immediate needs. We invest the remaining capital in hopes of generating sufficient investment returns to maintain the purchasing power of the endowment. Our goal is to support MIT in perpetuity with the same level of resources on an inflation-adjusted basis, allowing future scholars to advance our thinking in the same way past researchers at MIT have made advancements in fighting cancer, alternative energy research, space exploration, and much more. If, over the very long term, inflation averages 3% and we spend 5% per year, we need to earn roughly 8% annualized returns to meet this goal.

A book about investing in stock and bond instruments may not at first appear to offer insights into managing an endowment. Endowments are rarely direct purchasers of securities, because they maintain significant competitive disadvantages in that world. Universities cannot match the compensation commonly paid to the elite ranks of investment managers. Universities lack the internal culture and fast decision-making processes needed to move at the speed of trading in global markets. In most investment arenas, endowments are poorly situated to compete with more specialized local investors. For example, we would struggle to be a leading investor in start-up companies in Bangalore or Lagos from our office in Cambridge, Massachusetts.

While they may not be well-suited to buy assets directly, endowments maintain distinct competitive advantages in establishing partnerships with exceptional external investment managers. Because an endowment is a stable pool of funds, they are a good fit for investment managers looking for a steadfast source of capital through thick and thin. An endowment's time horizon matches the long process of building enduring, valuable, and mutually beneficial relationships with external managers. Amazingly, MIT maintains several active